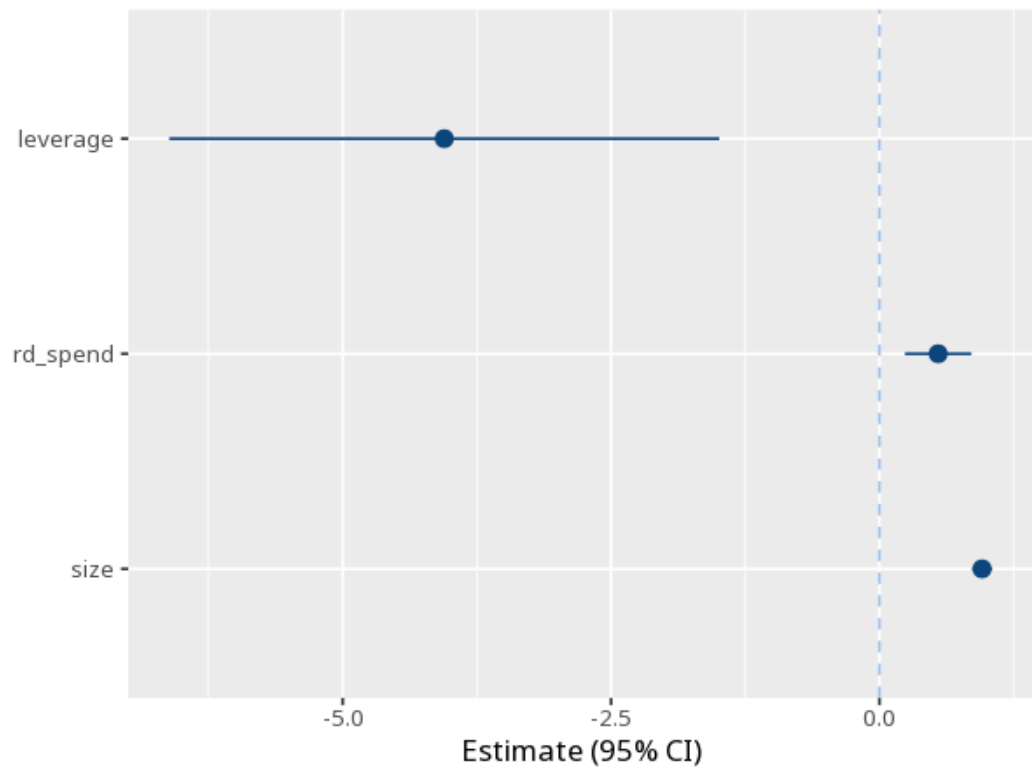


1 Random effects

	(1)
(Intercept)	-0.77 (0.28) [-1.31, -0.22]
leverage	-4.05 (1.29) [-6.62, -1.49]
rd_spend	0.55 (0.16) [0.24, 0.86]
size	0.96 (0.05) [0.86, 1.05]
Num.Obs.	96
N entities	12
R ²	0.98
R ² Adj.	0.98
Within R ²	.91
Between R ²	1.00
Overall R ²	.98



Like fixed effects but treats entity differences as random, allowing time-invariant predictors. Read each B/p as usual — but only trust this model if the Hausman test favours random over fixed effects. Method: R plm package (Croissant & Millo, 2008). Your significance threshold (α) is 0.05.

In a random-effects model, predictor leverage gave $B = -4.05$, $p = .002$.

Statistical basis: Random-effects (GLS) panel estimator (Croissant, Y., Millo, G. (2008). "Panel Data Econometrics in R: The plm Package." Journal of Statistical Software, 27(2), 1-43.).